Chapter Thirty-Six

Whither Public-Sector Banks?

PSBs Losing Market Share in Credit at a Fast Clip

Barring SBI, all other commercial banks were private banks in India in 1969. Prime Minister Indira Gandhi nationalized fourteen private banks as a political act and, in one move, transformed over 80 per cent of India's banking assets into public-sector assets. She came back to power in 1980 and nationalized six other private banks to bring 90 per cent of banking credit under the umbrella of government control.

This dominance, however, did not last long. The inefficiencies and inadequacies of public-sector banking started showing up soon. In less than twenty-five years, the government decided to bring back private-sector banks (PVBs). New private banks were licenced in 1994. With this began the decline of the market share of PSBs.

At the end of 2019–20, PSBs had 9.27 crore credit accounts with a total amount of Rs 60.7 lakh crore of outstanding credit. PVBs held 12.71 crore open credit accounts with outstanding credit of Rs 36.13 crore. PSBs maintained 87,576 offices whereas PVBs maintained 33,464 offices.

While PSBs had a smaller share of credit account holders (34 per cent versus 46.6 per cent held by PVBs), their share of outstanding credit was higher at 57.7 per cent (versus 34.3 per cent share of PVBs). The share of PSBs in credit is still over 50 per cent, but it is declining rapidly.

In 2002, RBI did not recognize the PVBs as a class. Private banks were bundled together as 'Other Scheduled Commercial Banks'. PSBs had two separate classes of banks: SBI Group and Nationalized Banks.